

Amazon.com, Inc.

AMZN NASDAQ

Buy \$270.50 ▲ 14.86% 12M Price Target \$310.00 52-Week Range \$196.00 – \$278.56

Market Cap \$2.91T

AMZN: AWS AI Engine Roars, Blowout Quarter Ignites Rally

WHAT HAPPENED

- AMZN just ripped +14.86% on 54M shares — the biggest one-day move in years. The trigger: Q2 earnings crushed it, and the real headline is AWS's AI + custom chip business hitting a \$25B annualized revenue run-rate. Translation: the money Amazon spent on Trainium chips and Anthropic partnership is finally showing up as real revenue, and that changes the entire growth story.
- Options flow was screaming this before the print — 67K unusual calls at the \$270 strike (3x the normal open interest, meaning traders piled into bets far above where the stock was trading). Somebody knew, or a lot of people guessed right.

WHY IT MATTERS

This move isn't just an earnings pop — it's a re-rating. For two years the market has treated AWS as a "mature" cloud business growing 15-17%; that \$25B AI run-rate says AWS is re-accelerating, which means analysts have to bump up their multi-year revenue models across the board. The bigger inference: Amazon is emerging as one of the true winners of the AI capex cycle alongside Microsoft and Google, and unlike them, it also owns a retail business printing cash to fund the buildout. Watch for sell-side price target hikes over the next 5 trading days — that's usually the second leg of a move like this. The one caution flag: the stock is now at 90% of its 52-week range, so short-term traders will take profits, expect chop between \$260-275 before the next leg.

POLICY & POLITICAL WATCH

The big political tailwind is the federal AI infrastructure push — the administration has been steering agencies toward US-based cloud providers with domestic chip supply chains, and Amazon's Trainium/Inferentia chips (designed in-house, made partly at TSMC Arizona) check that box. On the flip side, watch the FTC antitrust case still grinding through the courts — a bad ruling in 2026 could force separation of AWS from retail, though timing on any real remedy is years out. Tariff risk is the underrated one: Amazon's third-party seller marketplace depends heavily on Chinese imports, and any escalation of Section 301 tariffs directly compresses marketplace GMV and margins.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$270.50
12M Price Target	\$310.00
Upside / (Downside)	+14.6%
Market Cap	\$2.91T
FY2026E Revenue	\$720M
FY2027E Revenue	\$795M
FY2026E EPS	\$6.80
FY2027E EPS	\$8.40
Fwd P/E	39.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$290.00	\$275.00	\$250.00
6 Months	\$310.00	\$290.00	\$240.00
1 Year	\$340.00	\$310.00	\$230.00
2 Years	\$400.00	\$355.00	\$220.00
5 Years	\$550.00	\$450.00	\$260.00
10 Years	\$900.00	\$700.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87% today, +5.67% for the week) — Amazon alone is dragging the whole sector higher, and it signals the consumer isn't rolling over yet. Also anything AI infrastructure: chips, data centers, power.

COOLING OFF: Utilities, Energy, Industrials — classic risk-off sectors getting sold as money rotates into growth. Also notable: Apple got punished today on soft guidance, so mega-cap tech is NOT moving as a block anymore.

ROTATION WATCH: Money is clearly moving from defensive names into AI-exposed mega caps that can actually monetize the buildout. The Mag 7 is fracturing — Amazon, Meta, and Nvidia are the AI winners; Apple's stumbling.

RELATED PLAY: If AWS's chip business is real, the picks-and-shovels beneficiaries are the data center REITs (DLR, EQIX) and power infrastructure names (VST, CEG). Amazon needs massive power to run these AI workloads.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): AI ad targeting still driving revenue growth, though today's tape suggests a losing streak coming
- NVDA (Nvidia): Every dollar Amazon spends on AI capex is partly a dollar to Nvidia — direct beneficiary

AMZN CONTEXT: Amazon is now leading the mega-cap AI trade, not lagging. That's a shift — for the last year Microsoft and Nvidia were the leaders. When AMZN takes the baton, it often means the trade has broader legs because AMZN is the "value" name in the group with the biggest untapped monetization runway.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table at \$270 after a 15% one-day rip, but the underlying story got materially better and I'd be a buyer on any 5-8% pullback.

POSITION SIZE: 5-7% — this is a core mega-cap holding, not a speculative bet. The business is diversified enough (retail + cloud + ads) to survive a lot.

ENTRY POINTS: Wait for the inevitable digestion pullback to \$255-265. Chasing at \$270+ after a 15% day historically doesn't work well.

TIME HORIZON: 12-24 months. Catalyst to watch: Q3 earnings in late October — does AWS AI run-rate accelerate past \$30B? If yes, next leg up. Also watch AWS re:Invent conference in December for new chip announcements.

WHEN TO BAIL: AWS growth drops below 15%, or the FTC case takes a bad turn with real breakup risk, or capex spirals without matching revenue growth for two straight quarters.

HEDGING: Simplest hedge — buy a put option 10% below your entry price expiring 6 months out. Think of it as insurance: if the stock tanks, the put pays off and offsets your loss. Costs a bit but lets you sleep.